

Sri Lanka Green Finance Taxonomy

May 2022



ශ්‍රී ලංකා මහ බැංකුව
இலங்கை மத்திய வங்கி
CENTRAL BANK OF SRI LANKA

Environmental Objectives and Guiding Principles for Developing the Sri Lanka Green Finance Taxonomy

Environmental Objectives	1. Climate change mitigation 2. Climate change adaptation 3. Pollution prevention and control 4. Ecological conservation and resource efficiency
Guiding Principles	1. Substantial contribution 2. Do no significant harm (DNSH) 3. Respect Sri Lanka's green development priorities 4. Science-based screening 5. Compatible with international standards and practices 6. Dynamic adjustment

Tab Description and Benchmarks

Tab Description	Benchmarks
Climate Change Mitigation	• IPSF Common Ground Taxonomy - Climate Change Mitigation (2021) • Sri Lanka updated NDCs (2021) • EU Taxonomy - Climate Delegated Act (2021) • China Green Bond Endorsed Project Catalogue (2021)
Climate Change Adaptation	• Sri Lanka updated NDCs (2021) • National Adaptation Plan for Climate Change in Sri Lanka 2016-2025 • IFC Climate Smart Agriculture Financing Opportunities in Sri Lanka (2021)
Other Green Objectives (covering environmental objectives 3 and 4)	• Green Bond Endorsed Project Catalogue (2021) • Colombia Green Taxonomy (draft 2021) • IFC Guidelines for Blue Finance (2022)

Column Description	
Number	Number of the activity in this document
Macro-sector	High-level sector classification
Activity	Activity
Description	Description of activity
Metric & Threshold for Sri Lanka	Metric to be met to be aligned with the taxonomy

			not contain such a definition, is in line with the IPCC definition of extreme weather event; or after a wildfire, where wildfire is defined by national law, and where national law does not contain such a definition, as defined in the European Glossary for wildfires and forest fires. The economic activities in this category imply no change of land use and occurs on degraded land matching the forest definition as set out in national law, or where not available, in accordance with the FAO definition of forest.	
--	--	--	---	--

				• Roundtable on Sustainable Biomaterials
M2.2	Agriculture	Management of soil and biomass for net carbon sequestration	Transition from temporary crops or pastures to agroforestry systems (e.g., cocoa, fruit trees or forestry) and agrosilvopastoral system. Change land use towards systems with greater carbon sequestration (such as agroforestry systems), which have better soil protection and are consistent with their vocation. Conserve water resources.	• Project length of at least five years • Reduced tillage • Avoided erosion • No open burning • Evidence that soil carbon sequestration is likely to be maintained for 20 years or more (secure land rights, low threat of conversion, contractual commitments) or demonstrate 50% higher level of sequestration
M2.3	Agriculture	Other agricultural practices: Introduction of polycultures or associated crops in permanent crops	Introducing polycultures or crops associated with compatible species (preferably native timber or fruit trees) protects the soil, increases carbon and nitrogen fixation, diversifies production and increases resilience to climate variability.	Direct eligibility

			(e) triethylene glycol; (f) monoethylene glycol; (g) adipic acid.	used for the manufacture of organic base chemicals complies with the criteria laid down in Article 29, paragraphs 6 and 7 of that Directive.
--	--	--	---	--

				(b) not be made from raw material obtained from land with a high biodiversity value (e.g. primary forest, highly biodiverse forest, land protected by law, biodiverse grassland etc.) (c) shall not be made from raw material obtained from land with high-carbon stock - e.g. wetlands. (d) shall not be made from raw material obtained from land that was peatland in January 2020 unless evidence is provided that the cultivation and harvesting of that raw material does not involve drainage of previously undrained soil. Food-and feed crops are not used for the manufacture of biofuels for use in transport. 2. The GHG savings from the manufacture of liquid biofuel for use in transport are at least 65 % in relation to the GHG saving methodology and the relative fossil fuel comparator.
--	--	--	--	--

			generators, variable-speed pumped storage equipment, ultra-high-head large-impact hydraulic turbine generators, seawater pumped storage equipment, and other relevant hydropower generators and pumped storage equipment.	
M3.9	Manufacturing	Production of geothermal energy utilization equipment	Manufacture of ground source heat pumps, high-temperature geothermal heat pumps, key equipment of geothermal absorption refrigeration systems, medium and low-temperature geothermal power generation systems and geothermal drying and hot water supply systems, and anti-corrosion and anti-incrustation equipment for geothermal energy utilization.	Direct eligibility
M3.10	Manufacturing	Production of marine energy utilization equipment	Manufacture of marine energy utilization equipment that generates electricity from resources, such as marine tidal energy, tidal current energy, wave energy, temperature difference energy, and salt difference energy.	Direct eligibility

				freight currently transported by land to sea, the vessels that have direct (tailpipe) CO2 emissions, calculated using the International Maritime Organization (IMO) Energy Efficiency Design Index (EEDI), 50 % lower than the average reference CO2 emissions value.
M3.13	Manufacturing	Manufacture of low-carbon motorcycles	Manufacture of low-carbon motorcycles which meet the metric and threshold for Sri Lanka.	This includes: • manufacture zero tailpipe emissions motorcycles, mopeds • manufacture of motorcycles, mopeds and cycles fitted with an auxiliary engine up to 2025 • manufacture of low emissions engines for motorcycles up to 2025 • manufacture of parts and accessories for zero tailpipe emissions motorcycles
M3.14	Manufacturing	Manufacture of energy-saving furnace/kiln	Manufacture of metallurgical heating furnaces, non-electric metal treatment furnaces, industrial electric furnaces, industrial kiln and other energy-saving furnaces/kiln using high-temperature air combustion, oxygen-enrichment combustion, and waste heat utilization technologies, as well as the equipment like energy-saving furnace burners.	The economic activity manufactures technologies that are aimed at and demonstrate substantial life-cycle GHG emission savings compared to the best performing alternative technology/product/solution available on the market. Life-cycle GHG emission savings are calculated using ISO14067:2018 or ISO 14064-1:2018. Quantified life-cycle GHG emission savings are verified by an independent third party.

				(m) energy-efficient building automation and control systems for residential and non-residential buildings; (n) zoned thermostats and devices for the smart monitoring of the main electricity loads or heat loads for buildings, and sensing equipment; (o) products for heat metering and thermostatic controls for individual homes connected to district heating systems, for individual flats connected to central heating systems serving a whole building, and for central heating systems; (p) district heating exchangers and substations compliant with the district heating/cooling distribution activity set out in Section M4.11 of this document; (q) products for smart monitoring and regulating of heating system, and sensing equipment.
--	--	--	--	---

M4.5	Electric power generation, transmission and distribution	Electricity generation from hydropower	Construction or operation of electricity generation facilities that produce electricity from hydropower.	The activity complies with either of the following criteria: (a) the electricity generation facility is a run-of-river plant and does not have an artificial reservoir; (b) the power density of the electricity generation facility is above 5 W/m²; (c) the life-cycle GHG emissions from the generation of electricity from hydropower, are lower than 100gCO₂e/kWh. The life-cycle GHG emissions are calculated using ISO 14067:2018, ISO 14064-1:2018 or the G-res tool. Quantified life-cycle GHG emissions are verified by an independent third party.
M4.6	Electric power generation, transmission and distribution	Electricity generation from bio-energy	Construction and operation of electricity generation installations that produce electricity exclusively from biomass, biogas or bioliquids wastes, excluding electricity generation from blending of renewable fuels with biogas or bioliquids.	Total rated thermal input less than 2 MW. The greenhouse gas emission savings from the use of biomass are at least 80 % in relation to the GHG saving methodology and the relative fossil fuel comparator.

				elements to reduce methane leakage.
M4.11	Gas, steam and air conditioning supply	District heating and cooling	Construction of urban centralized heating facilities using low-grade industrial waste heat sources or other clean heat sources; and energy-saving and environmentally friendly technological renovation activities of urban centralized heating boilers, heating pipe networks and other centralized heating facilities. Construction, refurbishment and operation of pipelines and associated infrastructure for distribution of heating and cooling, ending at the sub-station or heat exchanger.	(a) construction and operation of pipelines and associated infrastructure for distributing heating and cooling, that are using at least 50 % renewable energy, 50 % waste heat, 75% cogenerated heat or 50 % of a combination of such energy and heat. (b) refurbishment of pipelines and associated infrastructure for distributing heating and cooling, where the investment that makes the system use at least 50 % renewable energy, 50 % waste heat, 75 % cogenerated heat or 50 % of a combination of such energy and heat within a three-year period.
M4.12	Gas, steam and air conditioning supply	Construction, installation and operation of heat pump facilities	Installation and operation of electric heat pumps.	The installation and operation of electric heat pumps complies with both of the following criteria: (a) refrigerant threshold: Global Warming Potential does not exceed 675; (b) energy efficiency requirements are best in class.

				(a) at construction, measurement equipment for monitoring of physical emissions, such as methane leakage is installed or a leak detection and repair program is introduced; (b) at operation, physical measurement of methane emissions are reported and leak is eliminated. 4. Where the activity blends renewable gaseous or liquid fuels with biogas or bioliquids, the agricultural biomass used for the production of the biogas or bioliquids complies with the criteria laid down in M3.3 of this document.
--	--	--	--	---

M5.3	Water supply, sewerage and waste management	Recycling non-hazardous waste	Construction and operation of facilities for the sorting and processing of separately collected non-hazardous waste streams into secondary raw materials involving mechanical reprocessing, except for backfilling purposes.	At least 50% of the weight of collected materials is converted into secondary raw materials.
M5.4	Water supply, sewerage and waste management	Composting of domestic and agricultural bio-waste	Construction and operation of dedicated facilities for the treatment of separately collected bio- waste through composting (aerobic digestion) with the resulting production and utilisation of compost.	Scope: composting agricultural and bio-waste Criteria: 1. The bio-waste that is composted is sourced, segregated and collected separately. 2. The compost produced is used as fertiliser or soil improver and meets national rules on fertilisers or soil improvers for agricultural use.

				5. In the dedicated bio-waste treatment plants, the share of food and feed crops used as input feedstock, measured in weight, as an annual average, is less than or equal to 10% of the input feedstock.
M6.1	Construction	Renovation of existing buildings	Energy-saving renovation of existing buildings and energy-use systems of buildings.	The building renovation leads to a reduction of primary energy demand (PED)/energy consumption/ GHG emissions of at least 30%.
M6.2	Construction	Acquisition and ownership of buildings	Buying real estate and exercising ownership of that real estate.	Green SL Rated buildings: Gold and Platinum.
M6.3	Construction	Construction of new buildings	Construction of new buildings	The GHG emissions/ energy consumption/Primary Energy Demand (PED) of the building resulting from the construction, is at least 10 % lower than the threshold set by a relevant national/international nearly zero-energy building requirements.

				own operations: electric charging points, electricity grid connection upgrades, hydrogen refuelling stations. 2. The infrastructure is not dedicated to the transport or storage of fossil fuels.
M6.7	Construction	Infrastructure for electric rail transport	Construction, modernization, operation and maintenance of railways and subways as well as bridges and tunnels, stations, terminals etc.	Scope: electrified rail only Criteria: 1. The infrastructure is either: (a) electrified trackside infrastructure and associated subsystems: infrastructure, energy, on-board control-command and signalling, and trackside control- command and signalling subsystems; (b) new and existing trackside infrastructure and associated subsystems where there is a plan for electrification as regards line tracks, and, to the extent necessary for electric train operations, as regards sidings, or where the infrastructure will be fit for use by zero tailpipe CO2 emission trains within 10 years from the beginning of the activity: infrastructure, energy, on-board control- command and signalling, and trackside control-command and signalling subsystems; 2. The infrastructure is not dedicated to the transport or storage of fossil fuels.

	storage	of public transportation system in urban and rural areas	other urban rail transportation facilities; construction and operation of high-capacity public transportation facilities, such as BRT bus stations, lines and other facilities construction and operation; purchase of public transportation vehicles, etc.	The activity complies with one of the following criteria: (a) the trains and passenger coaches have zero direct (tailpipe) CO2 emissions.
M7.2	Transportation and storage	Construction and operation of rail freight transport and upgrade of existing railways	Construction and operation of freight railway facilities such as freight railway routes, yards and stations, and special power substations; construction and operation of existing railway electrification, yards and stations and relevant energy-saving and environmental protection renovation projects.	1. The activity complies with one or both of the following criteria: (a) the trains and wagons have zero direct tailpipe CO2 emission; (b) the trains and wagons have zero direct tailpipe CO2 emission when operated on a track with necessary infrastructure, and use a conventional engine where such infrastructure is not available (bimode). 2. The trains and wagons are not dedicated to the transport of fossil fuels.

			2. For operation of underground geological CO₂ storage sites, including closure and post-closure obligations: (a) appropriate leakage detection systems are implemented to prevent release during operation; (b) a monitoring plan of the injection facilities, the storage complex, and, where appropriate, the surrounding environment is in place, with the regular reports checked by the competent national authority. 3. The activity complies with ISO 27914:2017 for geological storage of CO₂.
M8.2	Others	Hydrogen storage	Construction and operation of facilities that store hydrogen and return it at a later time. The activity is one of the following: (a) construction of hydrogen storage facilities; (b) conversion of existing underground gas storage facilities into storage facilities dedicated to hydrogen-storage; (c) operation of hydrogen storage facilities where the hydrogen stored in the facility meets the criteria for manufacture of hydrogen set out in hydrogen Manufacture in Section M3.11.

			climate resilience standards.	
A2.1	Financial services	Providing affordable insurance products to increase climate resilience of agricultural and tourism activities	Providing affordable insurance products to increase climate resilience: weather insurance products to protect against flooding or extreme weather events; agricultural crop insurance to protect against drought, flood; agricultural asset insurance; livestock insurance; aquaculture production insurance; tourism safety insurance.	Direct eligibility
A3.1	Construction	Construction of climate-resilient warehouse and storage systems for agricultural buffer stocks as a measure to improve disaster risk preparedness and management	Construction and operation flood-proof warehouses and storage systems for agricultural buffer stocks . The warehouse and storage system should be up to local climate resilience standards.	Meet local climate-resilient standards

E1.6	Agriculture	Green fishery	Environment-friendly fishery projects such as carbon sink fishery and clean water fishery, rice-fish system and the comprehensive utilization of saline-alkali water for fishery and agriculture, recirculating aquaculture systems, deep-water anti-wind and wave non-bait cage aquaculture, ecological aquaculture, and comprehensive utilization of aquatic by-products. Construction and operation of facilities treating aquaculture wastewater, as well as fishery resource conservation facilities, such as the marine fisheries conservation, etc.	Meet local certification scheme that has ecological conservation and/or resource efficiency components.
E1.7	Agriculture	Replacement of synthetic fertilizers, including organic or green manures (use of vegetable mulches)	Replace synthetic fertilizers with fertilizers prepared from organic material, such as harvest waste, pruning, manure, grass, etc. Introduce green manures, such as beans, crotalia, canavalia, among others.	Replacement of synthetic fertilizers
E1.8	Agriculture	Effective, low-toxicity and low-residue pesticide production and alternatives	Production and application of the state- and industrial- endorsed effective, low-toxicity and low-residue pesticides up to local standard.	Bio pesticide allowed by regulations

			• manufacture of ice cream and other edible ice such as sorbet	
E2.3	Manufacturing	Production of bio-based fast moving consumer goods from marine resources through bio-technological applications	Production of algae and other marine micro or macro organism to produce food, pharmaceuticals, cosmetics, or other bio-based products through bio-technological applications up to local sustainable production standards or certification scheme.	Meet local certification scheme that has ecological conservation and/or resource efficiency components
E2.4	Manufacturing	Manufacture of textiles with green/sustainability certification	This includes preparation and spinning of textile fibres as well as textile weaving, finishing of textiles and wearing apparel, manufacture of made-up textile articles, except apparel. (It does not include growing of natural fibres or manufacture of synthetic fibres)	Meet local certification scheme that has ecological conservation and/or resource efficiency components
E2.5	Manufacturing	Manufacture of paper with green/sustainability certification	This includes the manufacture of pulp, paper and converted paper products.	Meet local certification scheme that has ecological conservation and/or resource efficiency components

	management		ferrous metals, printing and dyeing, agricultural and sideline food processing, raw pharmaceutical ingredient manufacturing, tanning, pesticides, electroplating;. For example, the treatment of phosphate ore, phosphorus chemical industry, phosphogypsum storages, and comprehensive utilization and trading of phosphogypsum, construction and operation of wastewater facilities in industries containing phosphorus pesticides, etc.	
E3.5	Water supply, sewerage and waste management	solid waste collection and treatment of garbage generated in shipping vessels, yards and ports	Installation of solid waste collectors, receivers and treatment facilities for ports and marine terminals for the collection of garbage generated in shipping vessels, yards and ports.	Meet local waste treatment standards
E3.6	Water supply, sewerage and waste management	Recycling and treatment of packaging waste	Establishment and operation of recycling and treatment facilities for packaging wastes such as packaging containers and materials made from paper, plastic, metal, glass, wood, or mixed materials that comply with national standards.	Direct eligibility



ශ්‍රී ලංකා මහ බැංකුව
இலங்கை மத்திய வங்கி
CENTRAL BANK OF SRI LANKA